

GOING FOR GOLD

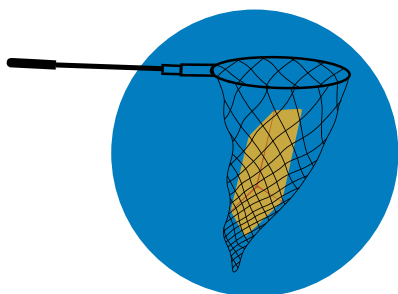
1 Gold has surged 32% and 16% over one-year and seven-year periods, respectively

2 Geopolitical tensions, record central bank purchases, inflation, and a weakening dollar have reinforced gold's status as a safe-haven asset

3 The US Fed's interest rate policy, global economic stability, and currency movements will play a crucial role in determining gold prices

4 Corrections are expected, but long-term fundamentals favour continued strength

5 Experts recommend allocating 5–15% of a portfolio to gold and buying during price dips for long-term gains



to-date. “Central bank purchases, which reached a record high of over 1,100 tonnes in 2023 according to the World Gold Council, along with steady inflows into gold ETFs, are expected to continue supporting the rally,” adds Bharti.

This resurgence in gold demand has come after a phase where equities and risk assets dominated investor attention, leaving gold somewhat on the sidelines. Gold delivered returns of 12% and 16%, respectively, in FY24 and FY23, per MCX. But the returns have become phenomenal now. In the last financial year, gold delivered 32%, compared to 5.3% by the benchmark Nifty50 index. In a remarkable turnaround, since the beginning of this calendar year, gold has yielded 17% returns till April 8, with international prices soaring past \$3,100 per ounce and domestic prices in India crossing ₹90,000 per 10 grams.

Kishore Narne, Director and Head of Commodities of trading platform Motilal Oswal Financial Services says, “Gold prices have found strong support this year, driven by heightened geopolitical tensions and tariffs, which significantly boosted the metal’s appeal.”

Additionally, central banks are hoarding gold at record levels. Over 1,000 tonnes of gold were added to global reserves in 2024 alone, with countries like China, Russia, and India aggressively increasing their holdings to reduce dependence on the US dollar.

“Given the global uncertainty and heightened volatility in the dollar, most central banks want to diversify and reduce their dependency on dollar-linked issuances,” says Vishal Bajaj, Director—Wealth at wealth advisory firm Client Associates.

Inflation is another catalyst. Historically, gold has served as a hedge against inflation, and with US inflation rates seen spiking to

3%, much above the US Federal Reserve’s 2% target, investors are increasingly turning to the metal as a store of value. Additionally, physical demand in India and China—the world’s largest gold consumers—has remained strong.

SGBs: A GROWING LIABILITY?

Sovereign Gold Bonds (SGBs), government securities issued by the Reserve Bank of India (RBI), had gained immense popularity, allowing investors to gain exposure to gold without the hassle of physical storage. Since these bonds are government-backed and offer a 2.5% annual interest rate, they became a preferred choice for many.

Consider this: The RBI has raised funds equivalent to 147 tonnes of gold through SGBs. This is substantial compared to the 876 tonnes of gold reserves held by the RBI in 2024.

A closer look at the initial tranche of SGBs highlights the growing financial burden. The government initially raised ₹245 crore, with investors purchasing gold at ₹2,684 per gram in November 2015. At the time of redemption on November 20, 2023, the gold price had surged to ₹6,132 per gram, marking a 120% increase. When factoring in the fixed annual interest, the total payout to investors rose to ₹610 crore, reflecting a 148% increase in cost to the government—an annual rate of 12%.

The RBI has issued 67 tranches and only three series (seven tranches) have been redeemed so far. Hence, the sharp rise in gold prices has further intensified the fiscal strain. The total cost would have been far lower if the government had raised the same funds through traditional bonds at a 7% interest rate.

This financial pressure is one of the key reasons for the discontinuation of SGBs. But the bigger ques-